

Review and Analysis of the Fiscal Year Ended March 31, 2020

Management Environment

The global business environment is undergoing a major transformation due to advances in digital technology. With the rapid penetration of AI and IoT and the utilization of big data, a DX is occurring that is changing the structure of the industry itself. The commercialization of the next-generation telecommunications standard 5G (fifth-generation mobile communications system), which has the advantages of ultra-high speed, large capacity, low latency, and massive machine connections, is expected to further accelerate this change. Meanwhile, in the Japanese telecommunications market, the business environment continues to undergo changes, including the strengthening of government policies to promote competition, the penetration of low-priced

smartphone services by Mobile Virtual Network Operators (MVNOs), and the entry of new players from other industries. Competition is intensifying, especially in the areas of e-commerce, finance, and payments.

In this context, under its *Beyond Carrier* strategy, the Group will continue to expand the customer base that it has developed in the telecommunications business, while also creating new businesses that leverage cutting-edge technologies such as IoT, AI, big data, and robotics, both by itself and through “co-creation” with partner companies. In doing so, the Group aims to solve various social issues facing Japan while maximizing corporate value.

Overview of Consolidated Results of Operations

■ Revenue

For the fiscal year ended March 31, 2020, revenue increased across all segments to ¥4,861.2 billion, an increase of ¥204.4 billion (4.4%) year on year. Revenue increased by ¥16.2 billion in the Consumer segment, ¥18.4 billion in the Enterprise segment, ¥65.1 billion in the Distribution segment, and ¥98.5 billion in the Yahoo segment.

■ Operating income

For the fiscal year ended March 31, 2020, operating income increased across all segments by ¥93.5 billion (11.4%) year on year to ¥911.7 billion. Operating income increased by ¥19.8 billion in the Consumer segment, ¥7.3 billion in the Enterprise segment, ¥2.0 billion in the Distribution segment, and ¥16.4 billion in the Yahoo segment. Operating income under “Others” increased by ¥46.4 billion. This increase was mainly due to the recording of less operating loss than in fiscal year ended March 31, 2019 related to PayPay Corporation, which was accounted for as a subsidiary at that time, and the recording of a gain on loss of control due to the reclassification of Cybereason Japan Corp. from a subsidiary of the Company to an equity method affiliate in fiscal year ended March 31, 2020.

■ Net income

Net income for the fiscal year ended March 31, 2020 increased by ¥12.5 billion (2.5%) year on year to ¥506.7 billion. The increase in income taxes in the fiscal year ended March 31, 2020 was mainly due to the recording of ¥19.5 billion in income taxes related to the gain on intergroup transfer of shares of Z Holdings, following the conclusion of the definitive integration agreement for the business integration between Z Holdings and LINE Corporation, and the impact of the use of loss carryforwards in the fiscal year ended March 31, 2019, in addition to an increase in income tax associated with the increase in profit before income taxes. Shares of losses of associates accounted

for using the equity method increased by ¥39.8 billion to ¥46.1 billion. This increase was mainly due to initiatives undertaken to expand business at PayPay Corporation, which has been accounted for as an equity method affiliate since May 2019.

■ Net income attributable to owners of the Company

For the fiscal year ended March 31, 2020, net income attributable to owners of the Company increased by ¥10.7 billion (2.3%) year on year to ¥473.1 billion. Net income attributable to non-controlling interests increased by ¥1.8 billion (5.8%) year on year to ¥33.5 billion, mainly due to the consolidation of ZOZO, Inc. as a subsidiary.

■ Adjusted EBITDA

For the fiscal year ended March 31, 2020, adjusted EBITDA increased by ¥239.5 billion (17.5%) year on year to ¥1,606.5 billion. The increase mainly reflects, in addition to the increase in operating income, an increase of ¥141.9 billion in depreciation and amortization due to transferring rents that were previously classified as operating leases to depreciation and interest expense due to the adoption of IFRS 16 from the fiscal year ended March 31, 2020. The Group believes that adjusted EBITDA, which excludes the impact of non-cash transactions, is a useful and necessary indicator for more effective evaluation of its business performance.

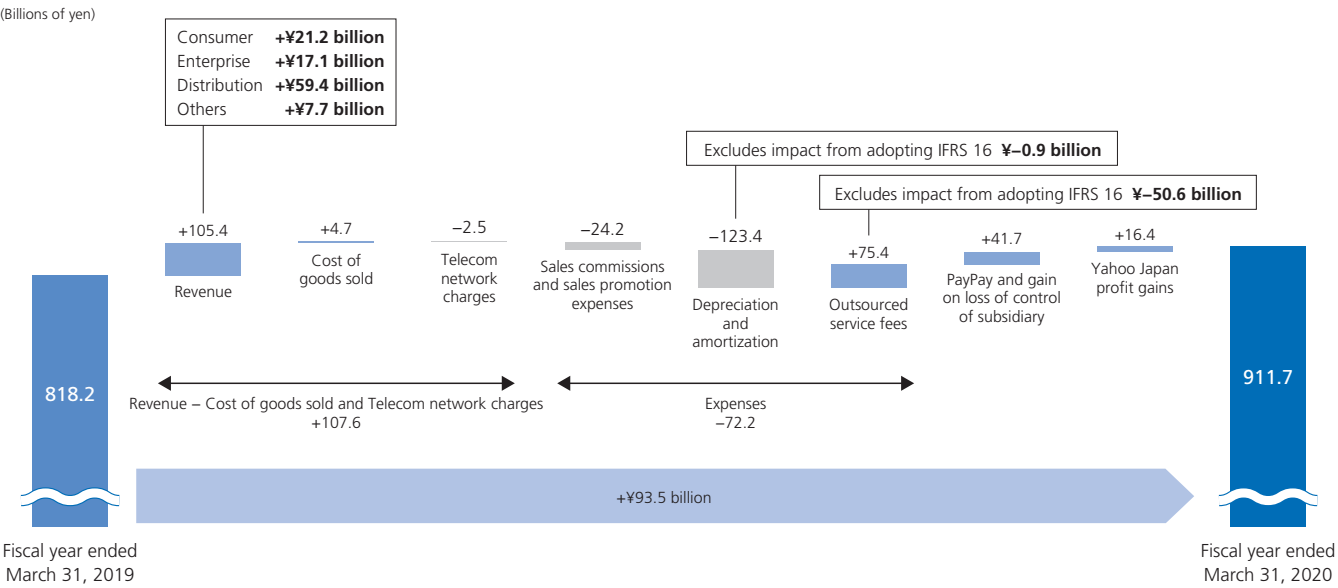
Furthermore, adjusted EBITDA margins, which are calculated based on the adjusted EBITDA mentioned above, are appropriate indicators to understand the ordinary profitability of core businesses. The adjusted EBITDA margin in the fiscal year ended March 31, 2020 was 33.0%, up 3.6 points year on year.

* The Company has adopted IFRS 16 from the fiscal year ended March 31, 2020. In addition, subsidiaries acquired through common control transactions (including Z Holdings Corporation) that became under the umbrella of the Group on and before March 31, 2020 are accounted for as if they were acquired on April 1, 2018, in accordance with the Group's accounting policies.

Consolidated Results of Operations

Fiscal years ended March 31				(Billions of yen)
	2019	2020	Variance	Growth rate
Revenue	4,656.8	4,861.2	+204.4	+4.4%
Operating income	818.2	911.7	+93.5	+11.4%
Profit before income taxes	746.1	811.2	+65.1	+8.7%
Income taxes	-251.9	-304.5	-52.6	-20.9%
Net income	494.2	506.7	+12.5	+2.5%
Net income attributable to:				
Owners of the Company	462.5	473.1	+10.7	+2.3%
Non-controlling interests	31.7	33.5	+1.8	+5.8%
Adjusted EBITDA	1,367.1	1,606.5	+239.5	+17.5%

Analysis of Fluctuation in Operating Income



Analysis of Fluctuation in Net Income Attributable to Owners of the Company

